UCHUMI

UCHUMI SUPERMARKETS LIMITED

ANNUAL REPORT & ACCOUNTS

1997

UCHUMI

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UCHUMI

COMPANY INFORMATION

BOARD OF DIRECTORS

Julius Muthamia, Chairman
Suresh Raichand Shah, Managing Director
Industrial and Commercial Development Corporation
Kenya Wine Agencies Limited
Dr. Eddah Wacheke Gachukia
Nigel Ralph Pavitt
Permanent Secretary - Ministry of Commerce and Industry
Samuel Onyango Ayodo
Dr. Ernest Muinde Kioko
Margaret Wambui Kenyatta

SECRETARY

B.K. Murage

AUDITORS

Price Waterhouse
Rattansi Educational Trust Building
Koinange Street
P.O. Box 41968, Nairobi

REGISTERED OFFICE

Uchumi Supermarkets Ltd.
Supermarket Building
Aga Khan Walk
P.O. Box 73167, Nairobi

REGISTRARS AND TRANSFER OFFICE

Management Services Division
ICDC
Uchumi House
Aga Khan Walk
P.O. Box 45519, Nairobi

BANKERS

Kenya Commercial Bank Limited
Kencom House
Moi Avenue
P.O. Box 48400, Nairobi

UCHUMI

NOTICE OF ANNUAL GENERAL MEETING TO ALL SHAREHOLDERS

NOTICE IS HEREBY GIVEN that the 19th Annual General Meeting of the Company will be held on Thursday 4 December, 1997 at the Hotel Inter-Continental Nairobi, at 3.00 p.m. to transact the following ordinary business:-

1. To confirm the minutes of the previous Annual General Meeting.

2. To receive, and if thought fit, adopt the Accounts for the year ended 30 June, 1997 and the Report of the Directors and that of the Auditors thereon.

3. To confirm the payment of the interim dividend of Shilling 0.60 per share and declare a final dividend of Shillings 2.75 per share in respect of the year ended 30 June, 1997.

4. To confirm the Directors' remuneration for the year ended 30 June, 1997.

5. To elect Directors who retire by rotation and, who being eligible, offer themselves for re-election.

   (i) Permanent Secretary, Ministry of Commerce and Industry

   (ii) Margaret Wambui Kenyatta

   (iii) Dr. Ernest Muinde Kioko

6. To authorise the Directors to fix the remuneration of the Auditors.

7. To transact any other ordinary business.

By Order of the Board

B.K. Murage
Company Secretary
7 October, 1997.

NB: A member entitled to attend and vote at this meeting is entitled to appoint a proxy who need not be a member of the company.

ILANI YA MKUTANO WA MWAKA KWA WENYEHISA WOTE

ILANI INATOLEWA KWAMBA Mkutano mkuu wa kumi na tisa wa kampuni hii utafanywa siku ya Alhamisi tarehe 4 Desemba, 1997 katika Hotel Inter-Continental Nairobi, saa tisa kamili alasiri kwa madhumuni ya kutekeleza shughuli za biashara za kawaida, zifuatazo:

1. Kuthibitisha kumbukumbu za mkutano wa mwaka uliopita.
2. Kupokea, na itakapo wazwa kuwa bora, kuidhinisha hesabu za mwaka uliomalizikia tarehe 30 Juni, 1997 pamoja na ripoti za wakurugenzi na mahasibu.
3. Kuthibitisha malipo ya mgao wa muda wa Shilingi 0.60 kwa kila hisa na kuamua malipo ya mgao wa mwisho wa Shilingi 2.75 kwa kila hisa, wa mwaka uliomalizikia tarehe 30 Juni, 1997.
4. Kuthibitisha ujira wa Wakurugenzi wa mwaka uliomalizikia tarehe 30 Juni, 1997.
5. Kuwachagua Wakurugenzi wanaostaafu kwa zamu na wakiwa wanastahili, wanajitolea kuchaguliwa tena.
    (i) Katibu Mkuu wa Wizara ya Biashara na Viwanda
    (ii) Margaret Wambui Kenyatta
    (iii) Dkt. Ernest Muinde Kioko
6. Kuidhinisha Wakurugenzi waweke kipimo cha ada ya mahasibu.
7. Kujadiliana mambo mengine yoyote yanayohusu shughuli za Kampuni.

Kwa amri ya Halmashauri

B.K. Murage
Katibu
Oktoba 7, 1997

Kumbusho: Mwanachama anayestahili kuhudhuria na kupiga kura kwenye mkutano huu ana haki kumteua mwakilishi kuhudhuria na kupiga kura kwa niaba yake. Mwakilishi huyo si lazima awe mwanachama wa Kampuni hii.

CHAIRMAN'S STATEMENT

In my speech during our last Annual General Meeting I stated that the Kenyan economy at that time remained buoyant. This was not, however, sustained during the financial year under review which saw economic growth drop below the previous year's 5%. Further, average annual inflation which had remained below 10% and the stable exchange rates that prevailed during much of 1996 following improved foreign exchange reserves, did not hold during 1997. More specifically, with inflation rising through 10%, this inevitably translated into reduced consumer spending and dampened demand.

This economic scenario, together with rising competition in a more liberalised market is the background against which the results for the current year have been achieved.

These difficult trading conditions were aggravated by a major fire in February 1997, which destroyed our central warehouse, and all stocks contained therein. Gross turnover, nevertheless, at Shs 5.176 billion, registered an 11% growth on the previous year

Whilst this growth was pleasing it was not however as great as that originally projected mainly due to the delayed opening of the company's Ngong Road Hyper branch. Operating costs in the meantime increased measurably during the year due to wage increases and the impact of inflationary rises. Consequently, profit before tax at Shs 364.1 million was 10% lower than last year's profit of Shs 405.8 million.

The company having withstood the impact of the warehouse fire, made a recovery during the following four months and in consequence had a healthy cash flow position at the year end. It was as a result, able to fund internally, the full cost of the new Hyper branch on Ngong Road, which is expected to open for business in the current financial year.

Let me now turn to the subject of dividends. Last year, your company paid a dividend of Shs 5.00 per share and, during our last Annual General Meeting, the recommended bonus issue of 1 share for every 2 shares held was approved by members, thereby increasing the company's issued share capital to Shs 300 million from Shs 200 million. This year an interim dividend of 12% was paid in July 1997 on the increased number of shares and the Board now recommends payment of a final dividend of 55% which, if approved, gives a total dividend distribution to shareholders of Shs 201 million representing Shs 3.35 per share . The total dividend payment of Shs 201 million will maintain your dividend at just above previous year's level despite the challenging circumstances the company faced during the year.

As a matter of record, this still places your company among those with the highest dividend pay out ratios within the sector having distributed shillings 1 billion by way of dividends since its public floatation in 1992. It also reflects your directors' continuing confidence in the future of the company.

As a reminder, last year, I reported that the company was undertaking a major expansion programme by constructing a new Hypermarket, on Ngong Road. With the opening of this new branch during the current financial year and with our enlarged Sarit Centre Hyper-branch in the new Sarit Centre Phase II Complex, our expectations are that the company will perform exceptionally well in the year 1997/1998. This of course anticipates a balanced economic climate, and hopefully, a continued tight rein on inflation.

Together with my Board of Directors, I would like to thank all our customers, shareholders, and suppliers for their outstanding and ongoing support throughout the year. This support was particularly appreciated at the most difficult time of the warehouse fire. Let me also thank our team of staff and management for their continued committment, loyalty, dedicated service and devotion to duty, all which has enabled the company to face up to the major challenges during the year. It is they who will help drive the company's future development.

Julius Muthamia
7 October, 1997

TAARIFA YA MWENYEKITI

Katika hotuba yangu ya mwaka uliopita niligusia kuhusu hali bora ya uchumi wa Kenya wakati huo. Ingawa hivyo, hali ya kiuchumi ilizorota na kupunguza kile kiwango cha asilimia tano cha mwaka wa awali. Isitoshe, hali ya upandaji wa gharama ya maisha ambayo ilikuwa chini ya asilimia kumi pamoja na ubadilishanaji fedha za kigeni wa 1996 haikujimudu mwaka wa 1997. Hii inamaanisha ya kwamba ununuzi ulipungua sambamba na kuongezeka kwa gharama ya maisha.

Hali hii ya uchumi pamoja na ongezeko la mashindano katika soko ndio hasa yaliosababisha matokeo tuliyopata mwaka huu.

Ule moto uliotokea mwezi Februari 1997 ulioangamiza mali yote kwenye ghala na pia hali ngumu ya biashara ndio hasa zilizoathiri faida, lakini tulipata mapato kwa jumla ya Shilingi bilioni 5.176 ambayo ni ongezeko la asili mia 11 ikilinganishwa na mwaka uliopita.

Ingawa faida ni ya kuridhisha, haikufikia kiwango tulichobashiri hata ikitiwa maanani ufunguzi wa soko jipya la Ngong Road . Gharama za uendeshaji kazi ziliongezeka kwa kiasi kwa ajili ya nyongezo ya mishahara na upandaji wa gharama ya maisha. Faida kabla ya kodi na ambayo ilikuwa Shilingi milioni 364.1 ilipungua kwa kiasi cha asilimia 10 ya faida ya Shilingi milioni 405.8 mwaka jana.

Miezi minne baada ya ajali ya moto, kampuni ilianza kufanya vyema na kuwa na mapato bora zaidi hadi mwisho wa mwaka na hii iliwezesha Kampuni kugharamia ujenzi wa soko jipya la Ngong Road linalotarajiwa kufunguliwa mwaka huu.

Mwaka jana Kampuni yenu ililipa mgao wa Shilingi 5 kwa kila hisa na kwenye mkutano mkuu wa mwaka uliopita, hisa za bakshishi za hisa moja kwa kila mbili zilikubaliwa na hivyo basi kuongeza rasilmali kutoka Shilingi milioni 200 hadi Shilingi milioni 300. Mwaka huu mgao wa muda wa asilimia 12 ulilipwa mwezi Julai 1997 kwa rasilmali iliyoongezeka na halmashauri yenu imependekeza malipo ya mgao wa mwisho wa asilimia 55 ambao ukikubaliwa na wenyehisa, itamaanisha malipo ya shilingi milioni 201 ama Shilingi 3.35 kwa hisa. Malipo haya yatadumisha kiwango cha malipo ya mgao sawa na wa mwaka jana hata ikitiwa maanani shida za Kampuni mwaka huu.

Malipo haya yanaiweka Kampuni yenu kwenye orodha ya Kampuni zenye kulipa migao ya juu katika sekta ya biashara na ambayo tangu ilipouza hisa zake kwa uma hapo 1992 imeweza kulipa shilingi bilioni moja za migao. Wakurugenzi wenu wana imani na maendeleo ya Kampuni.

Kama kuwakumbusha, mwaka jana niliwaarifu ya kuwa Kampuni ilikuwa imeanza upanuzi wa matawi na ujenzi wa soko la kisasa huko Ngong Road. Kufunguliwa kwa tawi hili jipya na kupanuliwa kwa Sarit Centre Sehemu ya Pili, ni matumaini yetu Kampuni itaweza kufanikiwa kibiashara mwaka wa 1997/1998. Hali hii itategemea hali nzuri ya uchumi na kupunguka kwa hali ya gharama ya maisha.

Pamoja na wakurugenzi, ningetaka kuwashukuru wateja wetu, wenyehisa na wenye kutuuzia bidhaa kwa ushirikiano mwema mwaka wote. Usaidizi huu hasa ulidhihirika wakati wa mkasa wa moto kwenye maghala yetu. Ninawashukuru wafanyi kazi na wasimamizi kwa juhudi yao na pia kujitolea kwao kazini ambako kuliwezesha Kampuni kukabiliana vilivyo na pingamizi za mwaka uliopita na ndio wao watakayoiwezesha kampuni kukua siku za usoni.

Julius Muthamia
Oktoba 7, 1997

DIRECTORS' REPORT
YEAR ENDED 30 JUNE 1997

The directors submit their report together with the audited accounts for the year ended 30 June, 1997 which disclose the state of affairs of the company.

PRINCIPAL ACTIVITIES

The company operates retail supermarkets at the following outlets:-

Market Branch
Westlands Branch
City Square Branch
City Square - Textile Division
City Square - Household Division
Ngong Road Branch
Kimathi Street Branch
Sarit Centre Branch
Jogoo Road Branch
Taveta Road Branch
Langata Branch
Nakuru East Branch
Nakuru West Branch
Eldoret Branch
Koinange Branch

RESULTS AND DIVIDEND

The results of the company are shown on page 12.

The directors recommend the approval of an interim dividend of Shs 0.60 per share and a final dividend of Shs 2.75 per share leaving a balance of Shs 23,948,000 to be transferred to revenue reserves.

DIRECTORS

The directors who held office during the year are shown on page 2. In accordance with Article 100 of the Company's Memorandum and Articles of Association, the Permanent Secretary - Ministry of Commerce and Industry, Margaret Wambui Kenyatta, and Dr. Ernest Muinde Kioko retire by rotation and all being eligible, offer themselves for re-election.

AUDITORS

Price Waterhouse continue in office in accordance with section 159 (2) of the Companies Act.

By Order of the Board

B.K. Murage
Secretary
7 October, 1997.

UCHUMI

RIPOTI YA WAKURUGENZI MWAKA ULIOMALIZIKIA TAREHE 30 JUNI 1997

Wakurugenzi wanatoa ripoti yao pamoja na tarakimu ya hesabu zilizokaguliwa za mwaka uliomalizikia tarehe 30 Juni, 1997 ambazo zinaonyesha hali ya kampuni ilivyo.

SHUGHULI MAALUM

Kampuni hufanya biashara rejareja ya masoko maalum katika matawi yafuatayo:

Market Branch
Westlands Branch
City Square Branch
City Square - Textile Division
City Square - Household Division
Ngong Road Branch
Kimathi Street Branch
Sarit Centre Branch
Jogoo Road Branch
Taveta Road Branch
Langata Branch
Nakuru East Branch
Nakuru West Branch
Eldoret Branch
Koinange Branch

MATOKEO NA MGAO

Matokeo ya Kampuni yanaonyeshwa kwenye ukurasa wa 12.

Wakurugenzi wapendekeza kuidhinishwa kwa malipo ya mgao wa kwanza wa Shilingi 0.60 kwa kila hisa na mgao wa mwisho wa Shilingi 2.75 kwa kila hisa na kuwekwa akiba ya Shilingi 23,948,000.

WAKURUGENZI

Wakurugenzi walioshika hatamu za ofisi mwaka huu wanaonyeshwa katika ukurasa 2. Kulingana na masharti ya Kampuni Nambari 100, Katibu Mkuu wa Wizara ya Biashara na Viwanda, Margaret Wambui Kenyatta, na Dkt. Ernest Muinde Kioko wastaafu kwa zamu na wote wakistahili, wanajitolea kuchaguliwa tena.

WAKAGUZI

Price Waterhouse wataendelea na kazi zao za ukaguzi wa kampuni hii kulingana na kanuni katika kifungu cha 159 (2) cha sheria za makampuni.

Kwa amri ya Halmashauri

B.K. Murage
Katibu
Oktoba 7,1997.

UCHUMI

AUDITORS' REPORT TO THE MEMBERS OF UCHUMI SUPERMARKETS LIMITED

We have audited the accounts set out on pages 12 to 19 which have been prepared on the basis of the accounting policies set out in note 1. We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit and to provide a reasonable basis for our opinion. The accounts are in agreement with the books of account.

The directors are responsible for the preparation of accounts which give a true and fair view of the company's state of affairs and its operating results. Our responsibility is to express an independent opinion on the accounts based on our audit and to report our opinion to you.

We conducted our audit in accordance with Kenyan Auditing Standards. Those standards require that we plan and perform our audit to obtain reasonable assurance that the accounts are free from material misstatement. An audit includes an examination, on a test basis, of evidence supporting the amounts and disclosures in the accounts. It also includes an assessment of the accounting policies used and significant estimates made by the directors, as well as an evaluation of the overall presentation of the accounts.

In our opinion proper books of account have been kept and the accounts give a true and fair view of the state of the company's financial affairs at 30 June, 1997 and of its profit and cash flows for the year then ended in accordance with Kenyan Accounting Standards and comply with the Companies Act.

Price Waterhouse
Certified Public Accountants
7 October, 1997.

UCHUMI

PROFIT AND LOSS ACCOUNT
YEAR ENDED 30 JUNE 1997

	Notes	1997 Shs'000	1996 Shs'000
TURNOVER		5,176,699	4,654,426
VALUE ADDED TAX		230,297	159,066
NET TURNOVER		4,946,402	4,495,360
PROFIT BEFORE TAX	2	364,085	405,777
TAX	3	139,137	146,188
PROFIT AFTER TAX		224,948	259,589
DIVIDEND	4	201,000	200,000
RETAINED PROFIT FOR THE YEAR	6	23,948	59,589
EARNINGS PER SHARE	7	3.75	4.33

UCHUMI

BALANCE SHEET
AT 30 JUNE 1997

	Notes	1997 Shs'000	1996 Shs'000
CAPITAL EMPLOYED			
SHARE CAPITAL	5	**300,000**	200,000
RESERVES	6	**350,274**	426,326
		650,274	626,326
REPRESENTED BY			
FIXED ASSETS	8	**219,366**	261,123
CAPITAL WORK IN PROGRESS	9	**128,452**	16,184
		347,818	277,307
CURRENT ASSETS			
Stock	10	**524,999**	565,449
Debtors	11	**166,350**	62,218
Short term deposits		**550,000**	419,800
Bank balances and cash		**40,503**	43,393
		1,281,852	1,090,860
CURRENT LIABILITIES			
Creditors	12	**761,425**	552,571
Tax		**7,481**	13,484
Dividend payable	4	**201,000**	160,000
Bank overdraft		**9,490**	15,786
		979,396	741,841
NET CURRENT ASSETS		**302,456**	349,019
		650,274	626,326

The accounts were approved by the board of directors on 7 October 1997, and were signed on its behalf by:

Suresh R. Shah :Director
Julius Muthamia :Director

UCHUMI

CASH FLOW STATEMENT
YEAR ENDED 30 JUNE 1997

	1997 Shs'000	1996 Shs '000
CASH FLOW FROM OPERATING ACTIVITIES		
Profit before taxation	364,085	405,777
Adjustments for:		
Depreciation	25,234	19,914
Interest received	(101,728)	(93,658)
Interest paid	199	140
Loss on disposal of fixed assets	17,678	–
Operating profit before working capital changes	305,468	332,173
Decrease in stock	40,450	19,694
(Increase)/decrease in debtors	(104,132)	25,919
Increase in creditors	208,854	54,650
Cash generated from operations	450,640	432,436
Income tax paid	(145,140)	(147,643)
Net cash from operating activities	305,500	284,793
RETURN ON INVESTMENTS AND SERVICING OF FINANCE		
Interest paid	(199)	(140)
Interest received	101,728	93,658
Dividend paid	(160,000)	(200,000)
Net cash outflow from investments and servicing of finance	(58,471)	(106,482)
CASH FLOW FROM INVESTING ACTIVITIES		
Purchase of fixed assets	(56,198)	(15,395)
Capital work in progress	(112,268)	(16,184)
Proceeds on disposal of fixed assets	55,043	–
Net cash outflow from investing activities	(113,423)	(31,579)
NET INCREASE IN CASH AND CASH EQUIVALENTS	133,606	146,732
CASH AND CASH EQUIVALENTS AT 1 JULY	447,407	300,675
CASH AND CASH EQUIVALENTS AT 30 JUNE	581,013	447,407

UCHUMI

NOTES TO THE ACCOUNTS
YEAR ENDED 30 JUNE 1997

1 SIGNIFICANT ACCOUNTING POLICIES

Accounting convention

The accounts are prepared under the historical cost convention as modified by the revaluation of leasehold land and buildings and the calculation of related depreciation.

Turnover

Net turnover comprises the amount receivable for goods sold net of value added tax paid in the year.

Fixed assets and depreciation

Fixed assets are stated at cost or valuation less accumulated depreciation.

Depreciation is calculated on the straight line basis at annual rates estimated to write off the cost or valuation of each asset over its expected useful life.

The annual rates used are:

Leasehold land and buildings	Over the period of the lease
Improvements to leasehold premises	10%
Furniture, fittings and equipment	15%
Plant and machinery	20%
Motor vehicles	20% and 25%

Stock

Stock is stated at the lower of cost and net realisable value. Cost is determined on the first in first out basis and includes only the purchase costs.

Deferred tax

Provision for deferred tax is made only when the directors consider that a tax benefit or charge is likely to crystallise in the foreseeable future.

Investment in Government Securities

Investment in Government Treasury Bills and Bonds consisting of fixed interest rate issues, are carried at the redemption value. Any unearned interest or discount is included in creditors and credited to income over the period of the issue.

NOTES TO THE ACCOUNTS (CONTINUED)
YEAR ENDED 30 JUNE 1997

2 PROFIT BEFORE TAX

	1997 Shs'000	1996 Shs'000
Profit before tax is stated after charging:		
Depreciation	**25,234**	19,914
Auditors' remuneration:		
Current year	**1,650**	1,500
Overprovision in prior year	–	(65)
Directors' emoluments:		
Fees	**400**	400
Other remuneration	**10,265**	11,745
And after crediting:		
Interest receivable	**100,118**	95,572
Rents receivable	**822**	812

3 TAX

	1997	1996
At 35% on the profit for the year as adjusted for tax purposes	**139,338**	146,733
Overprovision in prior years	**(201)**	(545)
	139,137	146,188

Tax assessments have been agreed with the Income Tax Department for all years up to and including the year ended 30 June, 1990. For years ending after June 1992 tax returns have been submitted on a self assessment basis.

The deferred tax asset amounting Shs 3,239,000 (1996: liability Shs 468,000) has not been recognised in these accounts because in the opinion of the directors the related timing differences will not reverse in the foreseeable future.

4 DIVIDEND

	1997 Shs'000	1996 Shs'000
Dividend brought forward	**160,000**	160,000
Proposed dividend	**201,000**	200,000
	361,000	360,000
Paid for previous year	**(160,000)**	(160,000)
Paid for current year	–	(40,000)
	201,000	160,000

NOTES TO THE ACCOUNTS (CONTINUED)
YEAR ENDED 30 JUNE 1997

4 DIVIDEND (CONTINUED)

The directors recommend the approval of an interim dividend of Shs 0.60 per share and a final dividend of Shs 2.75 per share amounting in total to Shs 201 million.

Payment of the dividend is subject to withholding tax at the rate of 5% and 10% for residents and non-residents respectively (1996 : 7.5% and 10% respectively).

5 SHARE CAPITAL

	1997 Shs'000	1996 Shs'000
Authorised, issued and fully paid		
60,000,000 ordinary shares of Shs 5 each (1996: 40,000,000 shares)	300,000	200,000

At the Annual General Meeting held on 28 November 1996, a resolution was passed by the shareholders to increase the company's authorised, issued and fully paid up share capital from Shs 200 million to Shs 300 million by the creation of an additional 20 million shares of Shs 5 each, ranking pari-passu with the existing shares of the company.

At the same Annual General Meeting the shareholders also approved the capitalisation of Shs 100 million from revenue reserves to be applied to a bonus issue of one ordinary share for every two shares held.

6 RESERVES

	Share premium Shs'000	Revaluation surplus Shs'000	Revenue reserve Shs'000	Total Shs'000
At 1 July 1996	129,452	45,834	251,040	426,326
Bonus issue of shares	–	–	(100,000)	(100,000)
Retained profit for the year	–	–	23,948	23,948
At 30 June 1997	129,452	45,834	174,988	350,274

7 EARNINGS PER SHARE

The calculation of earnings per share is based on the profit after tax of Shs 224,948,000 (1996: Shs 259,589,000) and on 60,000,000 shares in issue at 30 June, 1997.

NOTES TO THE ACCOUNTS (CONTINUED)
YEAR ENDED 30 JUNE 1997

8 FIXED ASSETS

	Leasehold Land and Buildings Shs'000	Plant and Machinery Shs'000	Office Equipment Furniture and Fittings Shs'000	Motor Vehicles Shs'000	Total Shs'000
Cost					
At 1 July 1996	226,303	23,367	49,495	40,580	339,745
Additions	27,132	10,430	18,636	–	56,198
Disposals	(68,012)	(5,082)	(5,831)	(3,973)	(82,898)
At 30 June 1997	185,423	28,715	62,300	36,607	313,045
Comprising:					
Cost	79,923	28,715	62,300	36,607	207,545
Valuation	105,500	–	–	–	105,500
Depreciation					
At 1 July 1996	19,323	16,886	20,829	21,584	78,622
Charge for the year	5,602	3,146	8,261	8,225	25,234
Release on disposals	(4,672)	(1,505)	(1,963)	(2,037)	(10,177)
At 30 June 1997	20,253	18,527	27,127	27,772	93,679
Net book amount					
At 30 June 1997	**165,170**	**10,188**	**35,173**	**8,835**	**219,366**
At 30 June 1996	206,980	6,481	28,666	18,996	261,123

The leasehold land and buildings were valued, at open market value, on 4 January 1992 by Tysons Limited, registered valuers. The resulting increase in net carrying value, amounting to Shs 65,834,000, was credited to capital reserve.

9 CAPITAL WORK IN PROGRESS

Comprises incomplete construction work at the end of the year, relating to the company's new premises on Ngong Road. Construction work is nearing completion and the new branch is expected to start operation in the financial year ending 30 June 1998.

UCHUMI

NOTES TO THE ACCOUNTS (CONTINUED)
YEAR ENDED 30 JUNE 1997

10 STOCK

	1997 Shs'000	1996 Shs'000
Food	160,828	151,530
Non-food	334,281	385,140
Other	7,014	11,223
Goods in transit	22,876	17,556
	524,999	565,449

11 DEBTORS

	1997 Shs'000	1996 Shs'000
Trade debtors	20,871	11,427
Other debtors and prepaid expenses	86,024	48,334
Insurance claims	58,077	1,782
Amount due from affiliates	1,378	675
	166,350	62,218

12 CREDITORS

	1997 Shs'000	1996 Shs'000
Trade creditors	670,078	484,898
Other creditors and accrued expenses	88,338	62,350
Amounts due to affiliates	3,009	5,323
	761,425	552,571

13 CAPITAL COMMITMENTS

Estimated commitments of capital expenditure as at 30 June, 1997 totalled Shs 26 million (1996: Shs 65 million). Capital expenditure authorised but not contracted for at 30 June, 1997 amounted to Shs 384 million (1996: Shs 308 million).

14 MORTGAGE AND DEBENTURE

The company has issued a legal mortgage on certain of its leasehold land and buildings and a floating debenture on its assets in respect of financing arrangements with its bankers.

15 INCORPORATION

The company is incorporated in Kenya under the Companies Act.

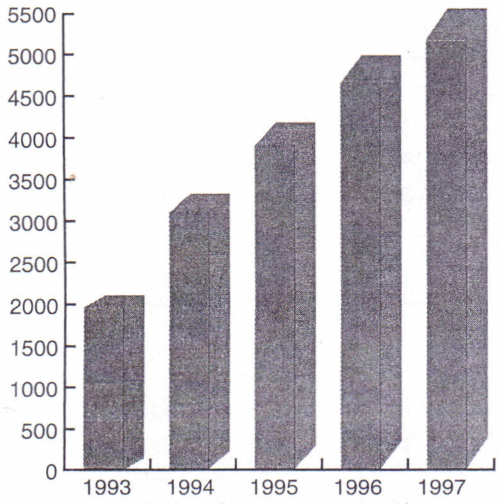
16 CURRENCY

These accounts are presented in Kenya Shillings (Shs).

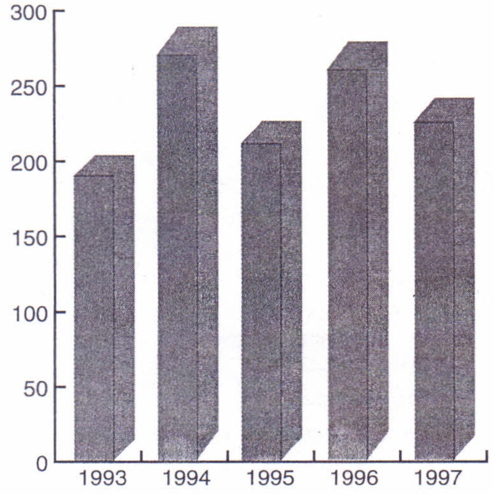
UCHUMI

FINANCIAL HIGHLIGHTS

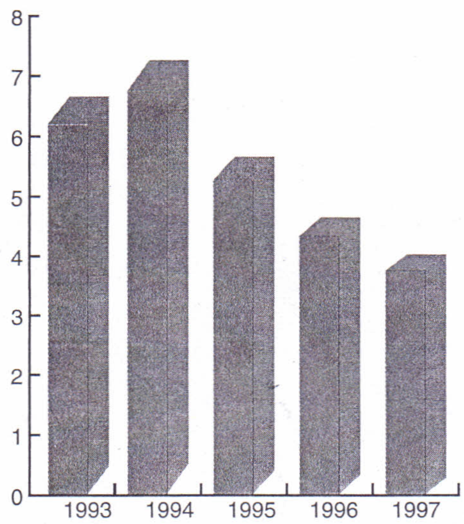
TURNOVER
(Shs. million)



PROFIT AFTER TAX
(Shs. million)



EARNINGS PER SHARE
(Shs.)



SHAREHOLDERS FUNDS
(Shs. million)